Conventional thinking of Development

Conventional thinking of development

Conventional development thinking:

- Conventional development theory essentially identifies development with economic growth or increasing the Gross National Product (GNP)
- **Development is best stimulated by doing whatever will most increase:**
    - Production for sale
    - Investment
    - Exports
    - Trade

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What is Economic Growth?

- Increase in the production of goods and services.
- Expansion of national income over time.
- Improvement in productive capacity.
- Higher output creates more economic opportunities.

Importance

- Creates employment.
- Increases income.
- Supports economic development.

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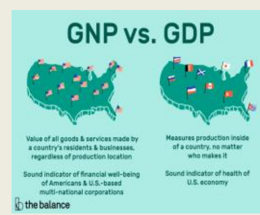
How Do We Measure Economic Growth?
Economic growth is commonly measured in terms of the increase in aggregated market value of goods and services produced.

Common Indicators:

1. **GDP (Gross Domestic Product)**
   Total domestic production.
2. **GNP (Gross National Product)**
   Total income earned by citizens.
3. **Per Capita Income**
   Average income per person.



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Unilinear Theories of Development:

Big Push for Economic Growth

Key Argument:

- The government of any underdeveloped country needs to make large investment in a number of industries simultaneously.

Rationale:

- Underdeveloped countries require large amounts of investments to embark on the path of economic development from their present state of backwardness

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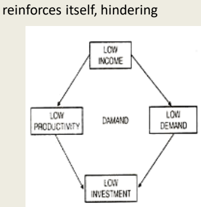
Vicious Circle of Poverty:

- The Vicious Circle of Poverty (VCP) is a theory proposed by economist Ragnar Nurkse.
- It explains why poor countries remain poor as poverty reinforces itself, hindering economic development.

Poverty Trap

- Low income leads to low savings.
- Low savings cause low investment.
- Low investment reduces productivity.
- Low productivity keeps income low.



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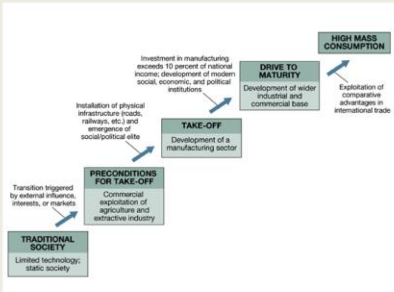
Modernization:

Rostow's five Stages of Economic Growth



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Environment and Modern Society

Environmental Consequences:

- Industrialization affects air, water, and soil quality.
- Natural resources are heavily exploited.
- Ecosystems may become degraded.
- Environmental damage is often viewed as a cost of development.

Concern
Economic growth may occur at the expense of environmental sustainability.

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Technology and Environment

Environmental Impacts of Technology:

- Increased carbon dioxide emissions.
- Air and water pollution.
- Massive energy consumption.
- Electronic waste generation.
- Depletion of natural resources.

Challenge
Balancing technological advancement with environmental

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Limitations of Conventional Development Thinking

1. GDP-Based Measurement:

- Focuses mainly on national income statistics.
- Ignores many non-market activities.
- Household contributions are often excluded.
- Does not fully represent social well-being.

Example
Household work contributes significantly but is rarely counted in GDP.

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2. Income and Distribution

- National averages hide inequalities.
- Wealth may be concentrated among a few groups.
- Economic growth does not guarantee equal benefits.
- Poverty may continue despite growth.

Key Issue: Growth does not automatically mean fairness.

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3. Growth Without Jobs

- Income can rise while unemployment increases.
- Automation may replace workers.
- Technology can reduce labor demand.
- Capital-intensive production creates fewer jobs.

Question: Can growth occur without improving livelihoods?

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4. Inequality and Power

- Wealth is unevenly distributed among people and countries.
- Rich countries have greater economic and political influence.
- Military power, including nuclear weapons, is concentrated in a few nations.
- Unequal wealth leads to unequal access to global resources.

Key Message: Conventional development often increases inequality and concentrates wealth and power in a few countries and individuals.

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5. Environmental Impacts

- Industrial activities increase greenhouse gases.
- Climate change results from excessive fossil fuel use.
- Rich countries contribute disproportionately to emissions.
- Poor countries often suffer the greatest impacts.

Concern: Economic growth may generate global environmental challenges.

Real development

What is Real Development?

- Development refers to a process which is planned and desired by the society

“Development is a multi-dimensional process involving changes in structures, attitudes, and institutions as well as the acceleration of economic growth, the reduction of inequality, and the eradication of absolute poverty”. **- Michael Todaro (1977)**

“ Development must be more than just the expansion of income and wealth. Its focus must be people.” **(UNDP 1990)**

- Development is value based. It has several dimensions like social, economic, cultural etc.

Real development

Indicators Real Development:

1. Health & Well-being:
- Good health
- Having sufficient good quality food
- Adequate shelter
- Appropriate clothing

2. Community & Connection:
- Belonging to and being involved in a supportive community
- Having meaning and purpose
- Important tasks, projects, interests

3. Security:
- Feeling secure from unemployment, poverty, violence, illness, stress, isolation, and social breakdown

Real development

4. Education:
- Access to quality education
- Literacy and knowledge
- Opportunities for lifelong learning

5. Freedom & Autonomy:
- Freedom/autonomy over one's life and work
- Having a valued and interesting livelihood
- Being respected for making a useful contribution

Real development

6. Work-Life Balance:
- Not having to work hard or struggle
- A relaxed pace of life

7. **Environment:**
- Closeness to nature
- Living in or close to a beautiful environment
- Having a sense of place
- A home to call one's own

Thank you all